
RevRec & Deferred Revenue

Step-by-Step Task Guide

A beginner-friendly walkthrough of RedTeam's monthly revenue-recognition close — amortizing prepaid subscriptions from unearned into earned revenue, and keeping the deferred-revenue schedules that support the balance sheet.

Source: "RevRec + Deferred Revenue Knowledge Transfer" recording + its Google Meet transcript

Recorded: July 20, 2026, 10:01 AM MDT (approx. 55 minutes)

Presenter / trainer: Greg Coble • **Trainee:** Connor Schone

Systems: QuickBooks Online (Paser & RedTeam Software) and Excel reconciliation files (Google Drive)

How this guide was built. Steps, screenshots, and on-screen values were read from the recording's video frames, and the green "From the meeting transcript" quotes are **verbatim** from the meeting's Google Meet transcript (lightly trimmed for filler words), tagged with speaker and timestamp.

This is a "part 1." The session ended before posting the final Flex journal entry and tying the worksheet fully to the balance sheet — those were scheduled for a short follow-up, and are noted at the end here.

The big picture

What revenue recognition is doing, and the two tracks

When a client **prepays** (usually an annual subscription), the cash isn't all revenue yet — it sits on the balance sheet as **unearned (deferred) revenue** and is **recognized (amortized) one-twelfth each month** as it's earned. Each month you record that recognition and keep a schedule that **ties back to the balance sheet**. There are two tracks:

- **Go / Paser prepaid clients** — handled with monthly **journal entries** in QuickBooks, cross-checked in the Paser financials workbook (the quick one).
- **Flex** — handled through the **deferred-revenue file**, a larger workbook you feed each month from a QuickBooks export.

FROM THE MEETING TRANSCRIPT — Greg Coble, 00:02:39

"Across the top is the companies that have prepaid... at the end of June, and we're going to record or amortize one-twelfth of that amount in the month of July."

Timing & the golden rule. Do deferred revenue on about **day 3** of the following month, and only **after every client invoice for the month is entered**. Keep the manual Excel schedules — they're the control, and their total is the audit support for deferred revenue on the balance sheet.

Part A — Go / Paser: monthly amortization journal entries

The quick track: copy last month's entry, recognize 1/12, cross-check

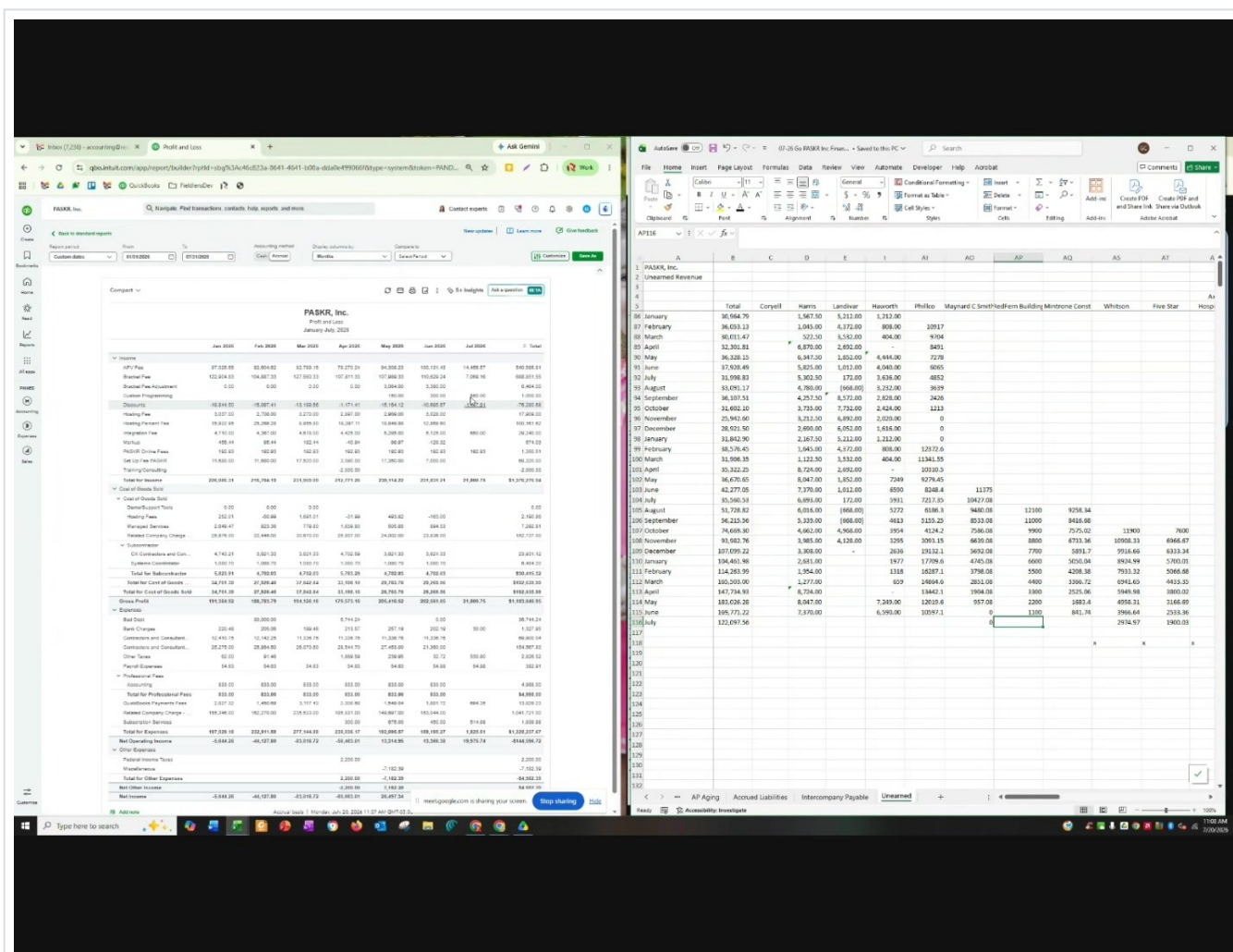
Step 1 — Open the Paser QuickBooks and the reconciliation workbook

Open the **Paser QuickBooks** (at the dashboard) and, side by side, the **Paser Financials** Excel workbook from the Paser month folder. Its tabs are the monthly reconciliations, populated from QuickBooks (exports or copy/paste). Go to the **Unearned** tab: across the top are the companies that prepaid and their remaining balances at the end of last month — you'll amortize one-twelfth of each this month.

- 1 Open **Paser QuickBooks** and the **Paser Financials** workbook side by side.
- 2 Go to the **Unearned** tab.
- 3 Note each prepaid company's remaining balance.

FROM THE MEETING TRANSCRIPT — Greg Coble, 00:01:23

"These are all the reconciliations, and the information comes out of QuickBooks — sometimes a copy and paste, sometimes a direct download or export."



QuickBooks (P&L) beside the Paser financials “Unearned” reconciliation tab.

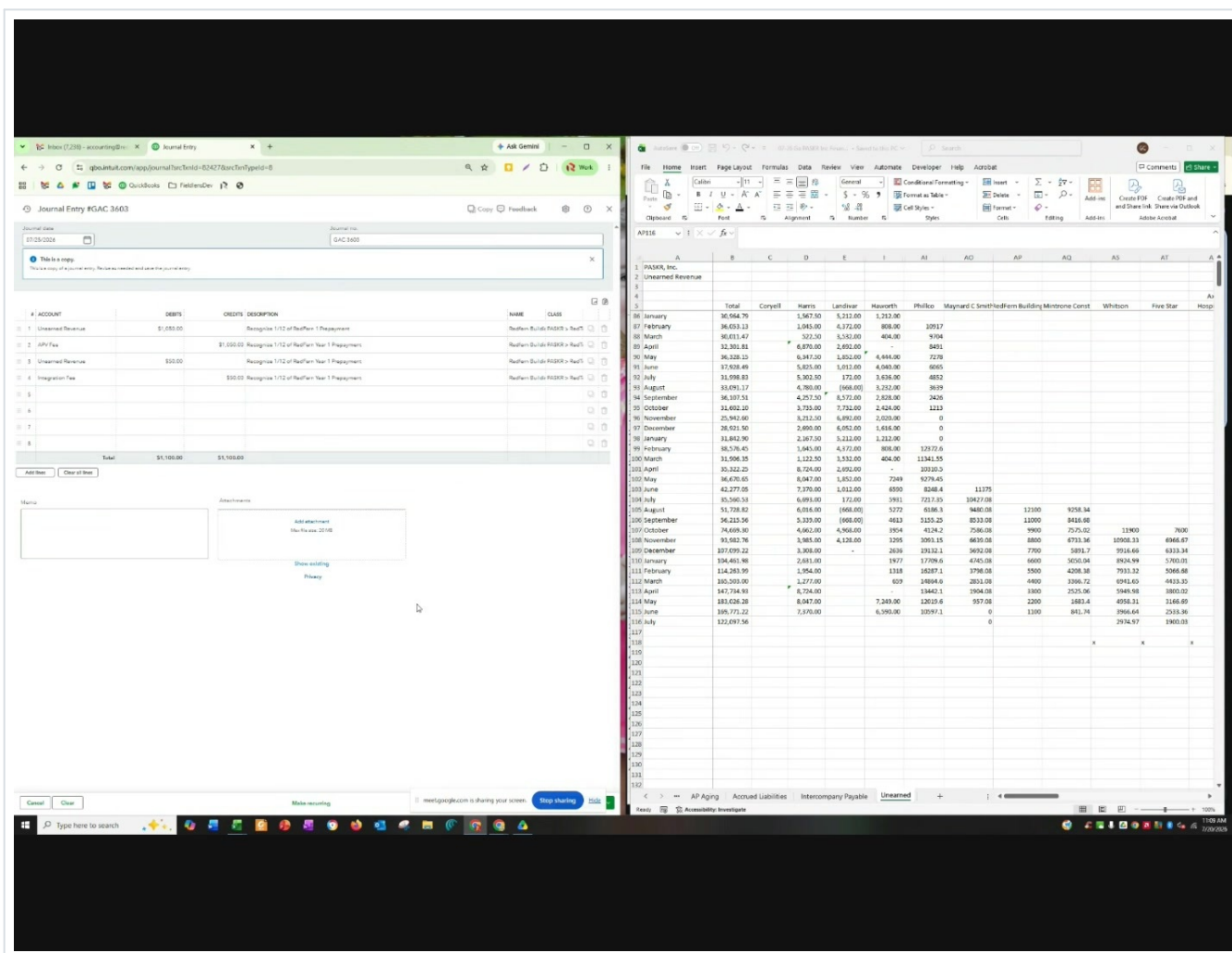
Step 2 — Copy last month’s journal entry and recognize this month

For each prepaid client (e.g. Red Fern), open last month’s amortization journal entry in QuickBooks, click **More** → **Copy**, and change the date to the **25th** (or month-end — just be consistent). The entry **reduces Unearned revenue and increases Sales**, recognizing the revenue for both the subscription and the integration fee. **Save and close**.

- 1 Open last month’s journal entry for the client.
- 2 Click **More** → **Copy** to carry it forward.
- 3 Set the date (the 25th or month-end).
- 4 Confirm it **debits Unearned** and **credits Sales**; **Save and close**.

FROM THE MEETING TRANSCRIPT — Greg Coble, 00:04:07

“I’m going to click copy because this is the June entry that I did, and we’re just going to carry it forward... it’s reducing unearned and increasing sales because we’re recognizing the revenue — for the subscription as well as the integration fee.”



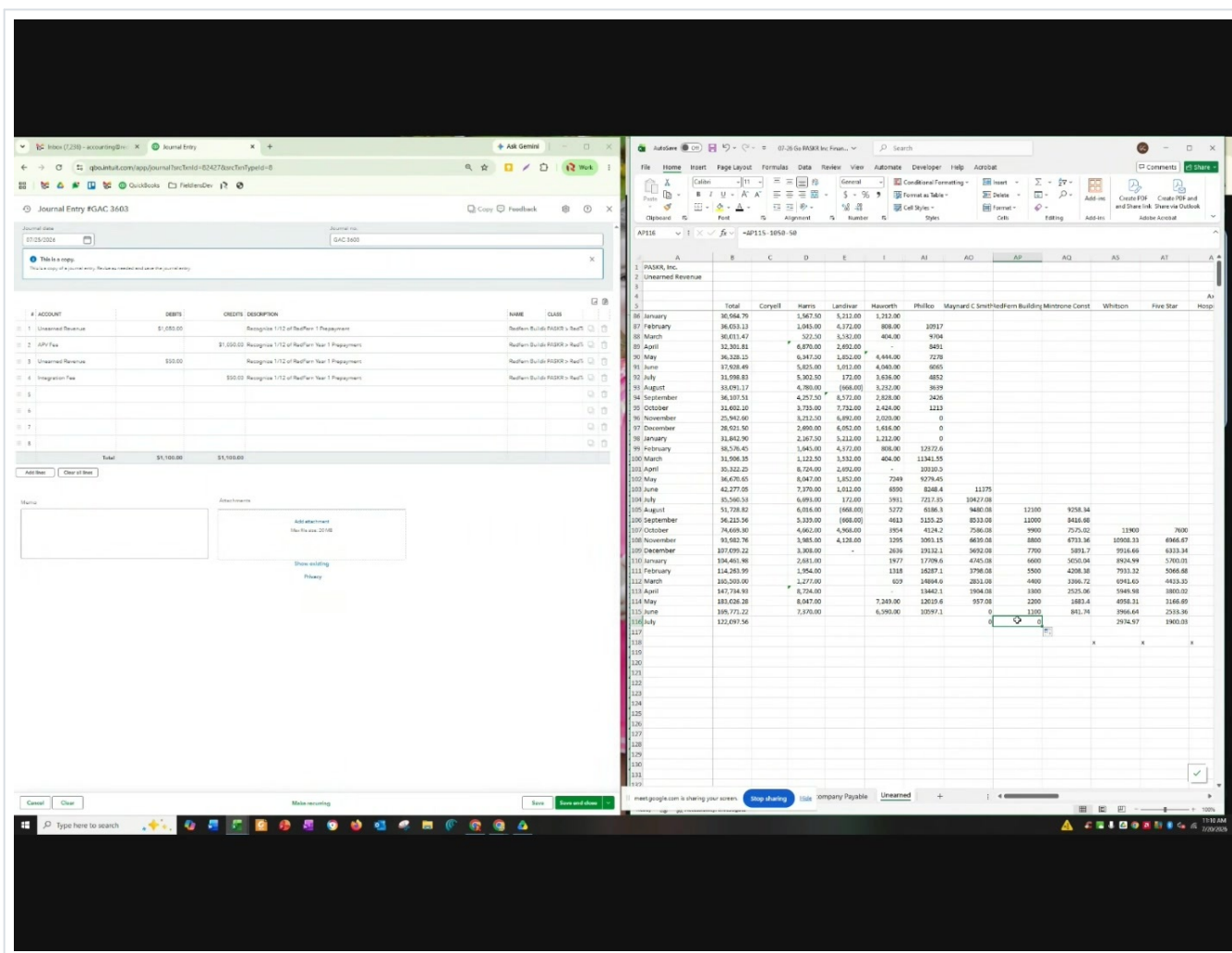
Copying the prior month's journal entry to recognize one month of revenue.

Step 3 — Cross-check in the workbook

Switch to the workbook's Unearned tab for that client and **drag the formula down** a month; the schedule subtracts this month's amounts and, in the client's final month, goes to **zero**. Check the entry and the spreadsheet **side by side** so the amounts agree. Repeat for every prepaid client (Menrome, Harris, Hayworth...) and mark each done.

- 1 In the Unearned tab, drag the client's formula down one month.
- 2 Confirm the amounts match the journal entry (final month → 0).
- 3 Repeat for each prepaid client; mark an "X" when done.

Go annual vs. Go Manager. Because Go annual deals are billed monthly in Go Manager, watch for double-billing — **void or zero out** the duplicate monthly invoices.



Cross-checking the journal entry against the Unearned schedule, side by side.

Step 4 — Tie out to the balance sheet

After all the entries, run the **Balance Sheet** to month-end and find **Unearned Revenue**. Compare it to the workbook total. If they don't match exactly, **reconcile the difference** — e.g. a \$153 gap traced to a discount — by drilling into the balance-sheet detail and checking your formula.

- 1 Run **Balance Sheet** to month-end; locate **Unearned Revenue**.
- 2 Compare it to the workbook total.
- 3 Investigate any difference via the detail and your formulas.

FROM THE MEETING TRANSCRIPT — Greg Coble, 00:14:15

"Unearned revenue here says 143,473.16... it doesn't match up exactly, so I need to reconcile the difference — so, \$153."

The screenshot shows a dual-monitor setup. The left monitor displays the QuickBooks Online interface for PASKR, Inc. The 'Balance Sheet' is visible, showing the period ending July 31, 2020. The right monitor displays an Excel spreadsheet titled 'Unearned Revenue'. The spreadsheet has columns for months (January through July) and various revenue categories (Total, Cancell, Morris, Landivar, Howerth, Philico, Maynard C Smith, Hedfem Building, Minton, Const, Whitson, Faw Star, Hope). The data shows a detailed monthly breakdown of unearned revenue, with values ranging from \$0 to \$1,477,956.12.

Tying the Unearned schedule to Unearned Revenue on the balance sheet.

Part B — Flex: the deferred-revenue file

The bigger track: export, clean, classify, and load the schedule

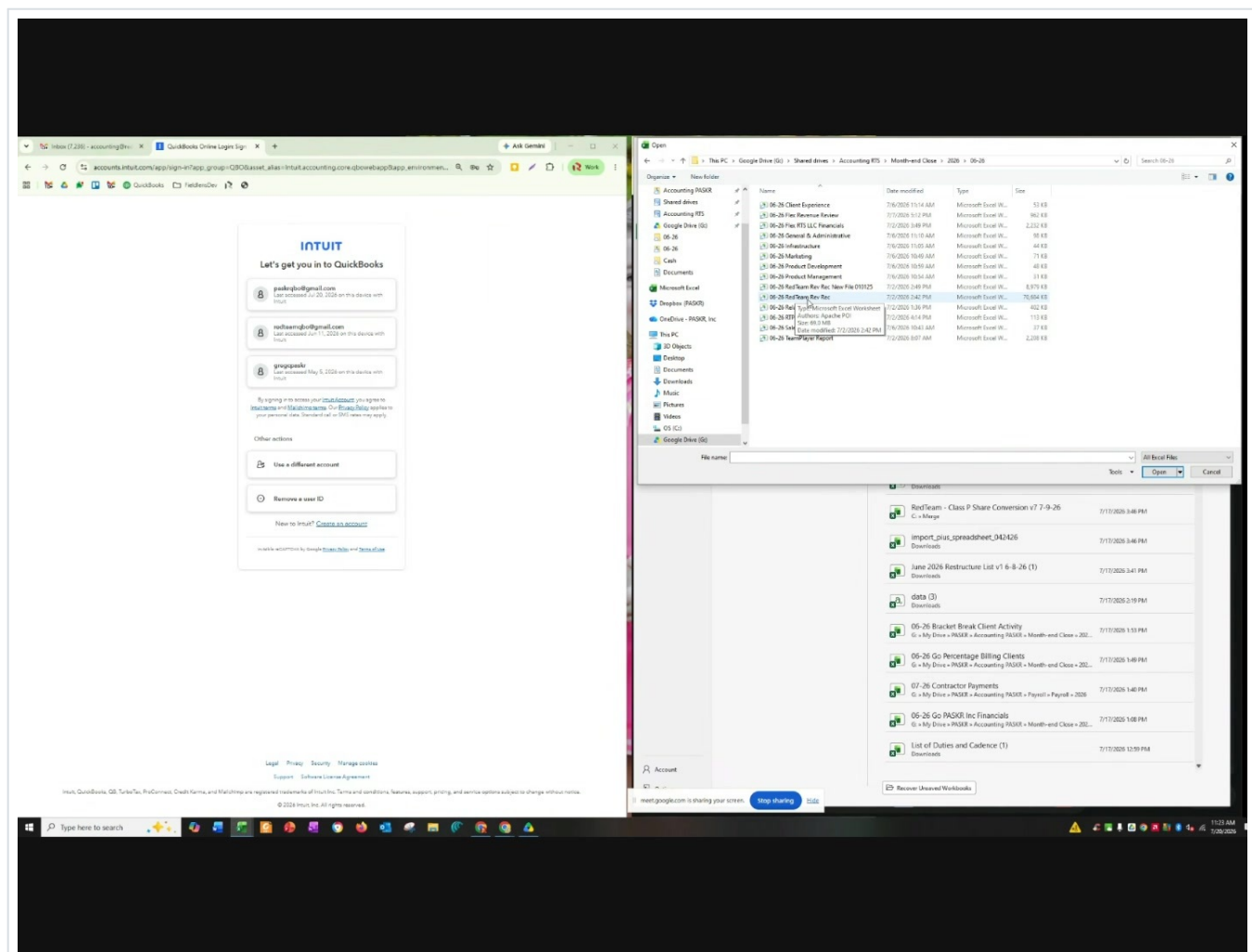
Step 5 — Open the current Flex deferred-revenue file

In **accounting@redteam.com**, go to the month folder → **2026** → the month. There are two files: the original **Red Team RevRec** (dating to ~2018, now too large to work in) and **Red Team RevRec New**. Use the **New** file. Each month's raw QuickBooks pull is kept in the file for look-back.

- 1 Open the month folder in Google Drive (2026 → the month).
- 2 Open **Red Team RevRec New** (not the oversized legacy file).

FROM THE MEETING TRANSCRIPT — Greg Coble, 00:19:47

"This one goes back to probably 2018... the file just got too big to work in, so I created a new file."



The Flex deferred-revenue files — use the newer, smaller workbook.

Step 6 — Export the month's income from QuickBooks

In the **RedTeam Software** QuickBooks, run **Standard reports** → **Profit & Loss**, set it **by months**, and **drill into Total income** for the month. Before exporting, click **Customize** and add the **Class** and **Quantity** columns and remove **Balance**. Then **Export** to Excel.

- 1 Run **P&L** → by months; drill into **Total income**.
- 2 **Customize**: add **Class** and **Quantity**; remove **Balance**.
- 3 **Export** the detail to Excel.

FROM THE MEETING TRANSCRIPT — Greg Coble, 00:24:57

“Before I export, I’ll go to customize... I’ll add in class and quantity and take out the balance... and then I’ll export it.”

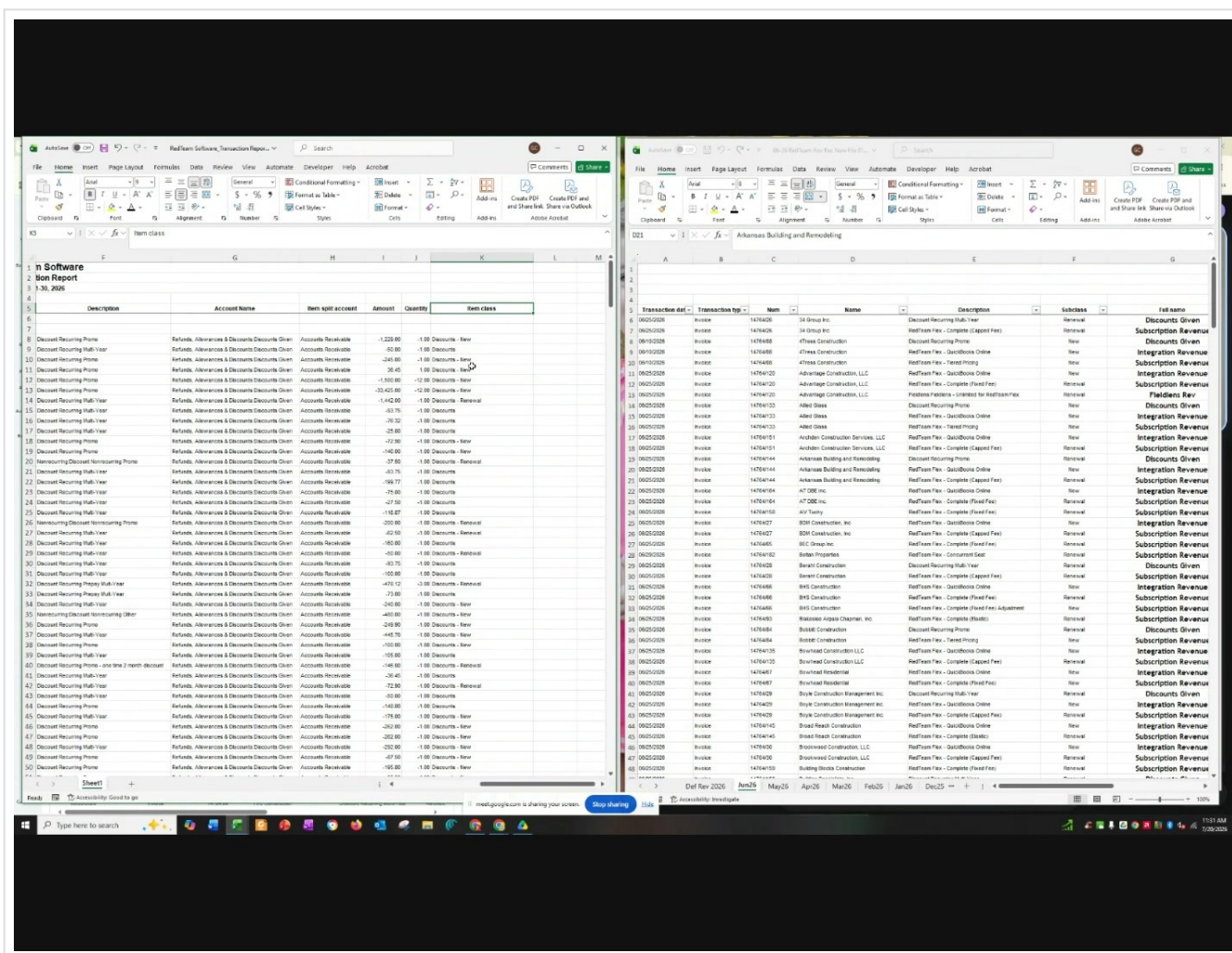
Step 7 — Clean the exported data

Prepare the export so revenue isn’t double-counted. **Remove the title rows** so the data can be sorted. Remove the **Fieldlens Recurly** title but **keep Fieldlens Direct** data (Recurly is deferred separately via a journal entry, so including it would double-count). Remove the **transaction fees** (single-month activity, not deferred), any existing journal-entry line, and zero-value **sales-tax** lines.

- 1 Delete the title rows.
- 2 Remove the **Fieldlens Recurly** title; keep **Fieldlens Direct**.
- 3 Remove **transaction fees**, any existing JE line, and zero sales-tax lines.

FROM THE MEETING TRANSCRIPT — Greg Coble, 00:26:55

“You want to take out Fieldlens Recurly... we don’t want to duplicate deferred/reognizing revenue for the Recurly because we do that through a journal entry... and I’m going to take out the transaction fees.”



Cleaning the raw QuickBooks export before loading it into the schedule.

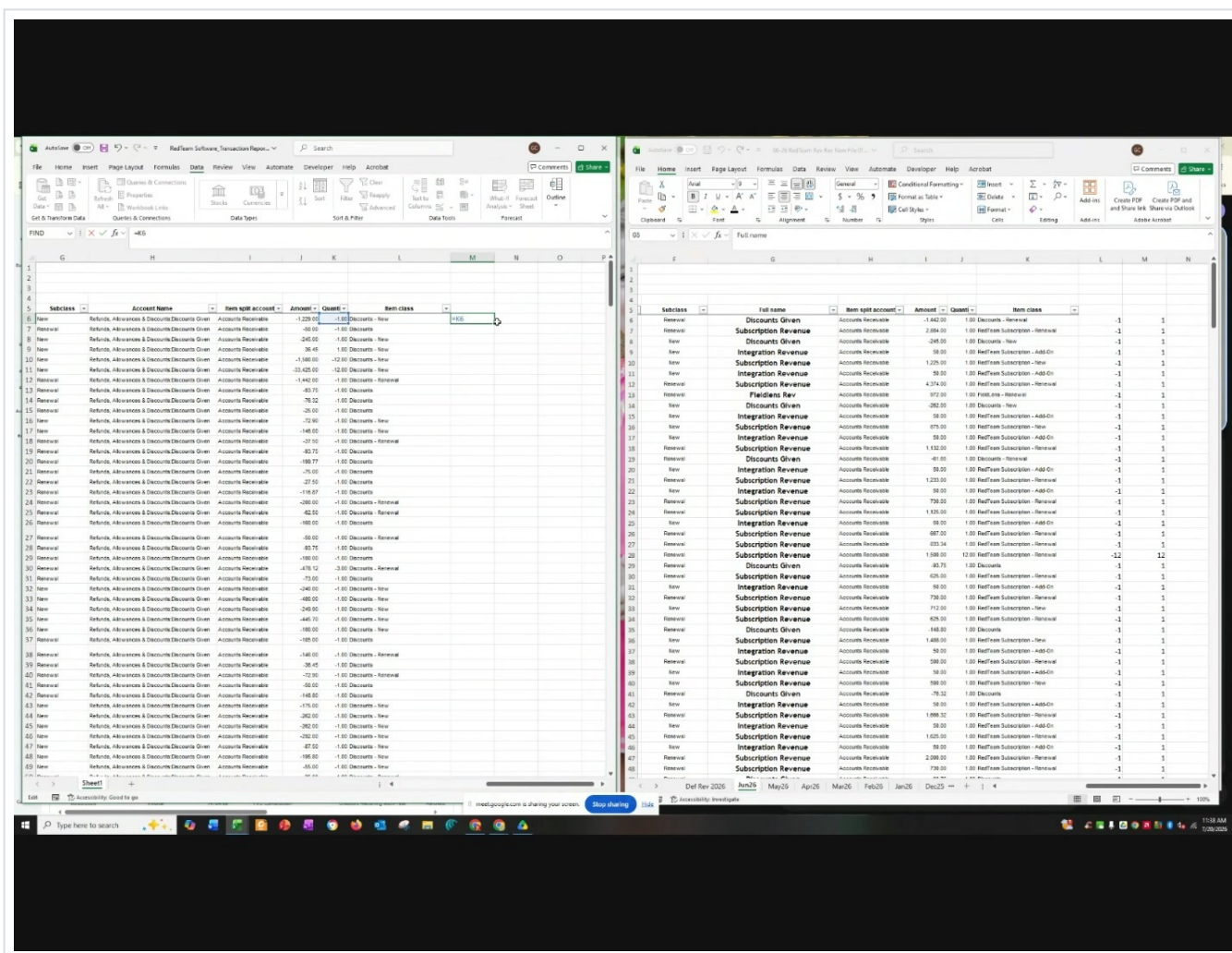
Step 8 — Classify New/Renewal and fix quantities

Fill the **subclass** column from each line's class: mark **New** (including add-ons) or **Renewal**. Then fix the **Quantity** column — the export shows negatives, so convert them to **positive** (multiply by -1). Quantity is the **number of periods** being recognized: **12** = annual, **3** = quarterly, etc. Spot-check anything above 1, and investigate unusually large amounts against the actual invoice (e.g. an annual Sage 100 should be 12, not 1).

- 1 Populate **subclass**: New (and add-ons) vs. Renewal.
- 2 Convert negative **quantities** to positive ($\times -1$).
- 3 Confirm 12 = annual, 3 = quarterly; verify large numbers against the invoice.

FROM THE MEETING TRANSCRIPT — Greg Coble, 00:34:00

"These quantities are negative... we need our quantities to be positive... what these quantities indicate is the number of periods that we're recognizing — some of these have 12, and that's an annual invoice."



Setting New/Renewal and converting quantities to the number of periods (12 = annual).

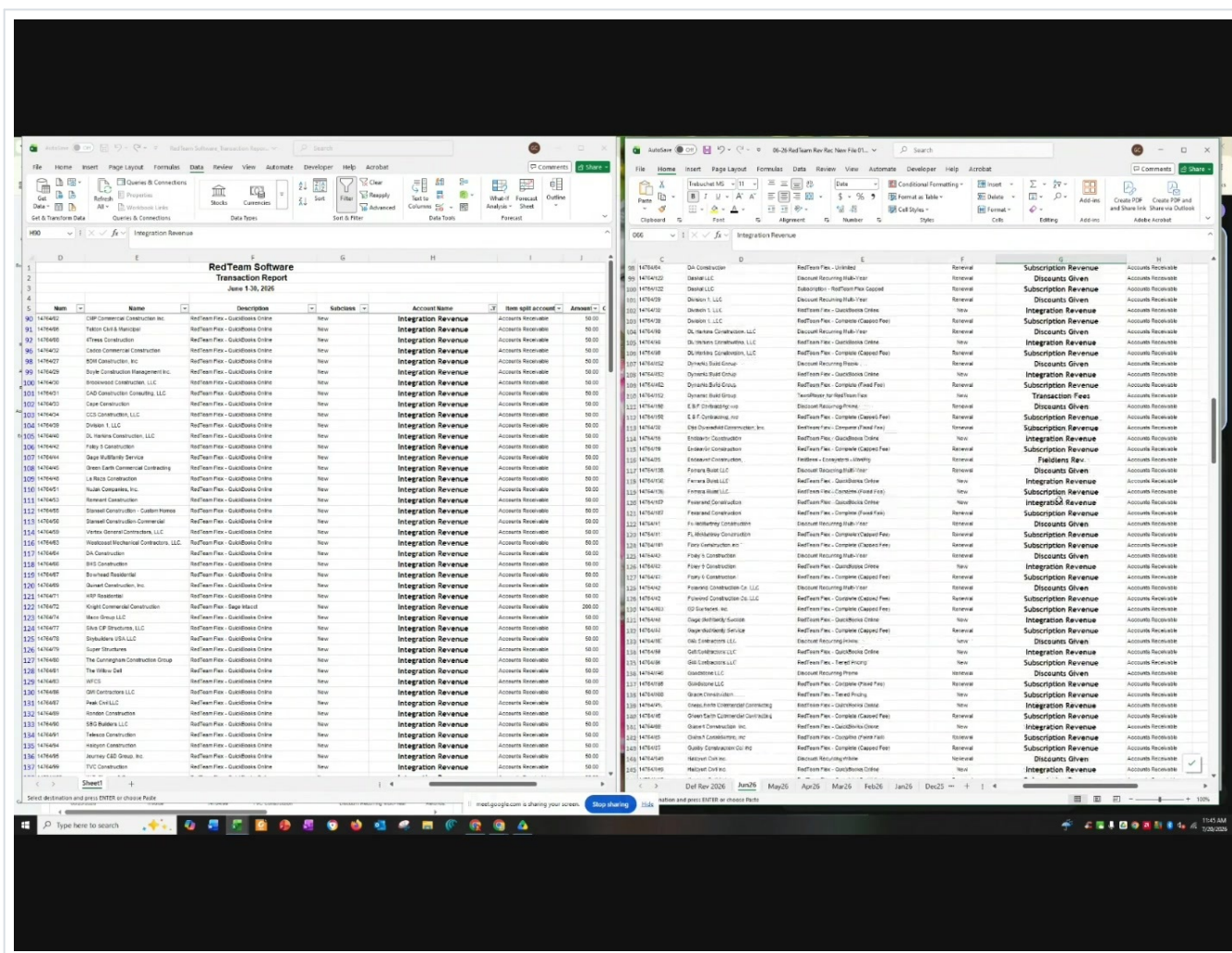
Step 9 — Map the account names to match prior periods

The schedule uses a **reference lookup** on the account “full name,” so each name must be spelled and spaced **exactly** as in prior months. The safe way is to **copy each name from the previous month**: Fieldlens revenue, integration revenue, **third-party** (Sage Intacct), professional services (drop the sales-tax lines), and discounts. Only the account-name column changes — the description stays as-is.

- 1 For each group, copy the exact account name from last month's file.
- 2 Cover Fieldlens revenue, integration revenue, third-party (Sage), professional services, discounts.
- 3 Change only the **account-name** column; leave descriptions unchanged.

FROM THE MEETING TRANSCRIPT — Greg Coble, 00:44:07

“These have to be spelled exactly the same and have exactly the same spacing for the reference lookup to work — so for me it's just as easy to copy it from the previous month.”



Matching account names to prior periods so the reference lookup resolves.

Step 10 — Load the schedule and tie to the balance sheet

Move the prepared data into the **deferred revenue** worksheet: insert enough rows (with a small buffer), then **copy the data in by column** (invoice number, product/service, description, New/Renewal, quantity, amount). **Copy the formulas down** and **copy the column over to the new month** — one side computes **revenue recognition**, the other the remaining **deferred balance**. The worksheet total, plus the other deferred file, **equals deferred revenue on the balance sheet** — the audit support.

Still to come (follow-up): post the resulting Flex journal entry into QuickBooks and finish tying the worksheet to the balance sheet.

- 1 Insert the needed rows in the **deferred revenue** worksheet.
- 2 Copy the prepared data in **by column**.
- 3 Copy formulas down and copy the column into the new month.
- 4 Confirm the total (+ the other file) equals balance-sheet deferred revenue.

FROM THE MEETING TRANSCRIPT — Greg Coble, 00:51:39

"The total of this worksheet deferred plus the other worksheet deferred equals the total that's on the balance sheet... if the auditors say what makes up your deferred revenue, this would be the support."

The image shows two Excel spreadsheets side-by-side. The left spreadsheet, titled "RedTeam Software Transaction Report June 1-30, 2026", contains a list of transactions with columns for Transaction Date, Transaction Type, Name, Description, Subclass, and Account Name. The right spreadsheet, titled "Revenue Accrual", shows a detailed breakdown of revenue by product/service, including columns for Item #, Product/Service, Name, Type, End Date, and Start Date. Both spreadsheets are displayed in a windowed view.

Loading the month into the deferred-revenue schedule; its total supports the balance sheet.

Quick reference

The two tracks, the data-cleaning rules, and key facts

Two tracks

Track	How revenue is recognized
Go / Paser prepaid	Monthly journal entry in QuickBooks (copy prior month), cross-checked in the Paser workbook
Flex	Deferred-revenue file fed from a QuickBooks P&L export, cleaned and loaded each month
Recurly (Fieldlens)	Deferred via a separate journal entry — exclude from the Flex export

Data-cleaning checklist (Flex export)

- Remove all **title rows**.
- Remove **Fieldlens Recurly** title; keep **Fieldlens Direct** data.
- Remove **transaction fees**, any existing JE line, and zero **sales-tax** lines.
- Fill **subclass**: New (+ add-ons) / Renewal.
- Make **quantities positive**; quantity = periods (12 = annual, 3 = quarterly).
- Match **account names** exactly to prior month (copy them) for the reference lookup.

Key facts

- **Timing**: do deferred revenue on ~**day 3** of the following month, after all invoicing is entered.
- **Amortize** prepaid amounts **1/12 per month**; entries debit Unearned, credit Sales.
- **Use the 'New' Flex file** (the legacy 2018 file is too large).
- **Tie-out**: Go/Paser workbook + Flex file totals = deferred revenue on the balance sheet.
- **Go annual + Go Manager monthly** → void/zero duplicate invoices to avoid double-billing.

About the quotes. The green "From the meeting transcript" quotes are verbatim from the meeting's official Google Meet transcript (lightly trimmed for filler words).

Part 2 — Follow-up

Recorded July 21, 2026 — the 30-minute session to finish the journal entry and tie out the worksheet

This session picked up straight after the first RevRec walkthrough — finishing the deferred revenue workbook, walking the month's journal entry end-to-end, and tying the worksheet back to the balance sheet. Screenshots are taken from the pt.2 recording, and the green "From the meeting transcript" quotes are verbatim from its Google Meet transcript (lightly trimmed for filler words), tagged with speaker and timestamp.

Step 11 — Prep the QuickBooks export into the deferred revenue file

Pick up from the exported QuickBooks Online report (Greg saved the worked example as the “**June example**” tab in the month folder). Get the export into the shape the deferred revenue file expects: take out the **title rows**, remove the **Recurly** lines and the stray **transaction-fee** lines, add a column for **subclass**, correct the **account name**, and adjust the amount column so the values are **positive**. Then drop in invoice / product-service, name, account name, and subclass, and bring the dates down for the current period.

- 1 Open the saved **June example** export in the month folder.
- 2 Remove title rows, Recurly lines, and transaction-fee lines.
- 3 Add the **subclass** column, fix the **account name**, make values **positive**.
- 4 Populate invoice, product/service, name, account name, subclass, and the period dates.

FROM THE MEETING TRANSCRIPT — Greg Coble, 00:00:13

“We added a column for subclass, we updated the account name, and then we adjusted the column such that it was positive.”

Why the clean-up matters. Leaving title rows or the Recurly / transaction-fee lines in causes **duplicate revenue recognition** — strip them before anything is dropped into the deferred revenue worksheet.

06-26 RedTeam Rev Rec New File (1)123 Ex... Sent to this PC

File Home Insert Page Layout Formulas Data Review View Automation Developer Help Accountant

Clipboard Font Paragraph Styles Cell Styles Cells

RedTeam Software
Transaction Report
June 1-30, 2025

Name	Description	Subclass	Account Name	Item split account	Amount	Quant	Item che
001 Commercial Construction Inc.	Discount Recurring Promos	New	Discounts Given	Accounts Receivable	-1,223.00	1.00	Discounts - New
002 Tecton Civil & Structural	Discount Recurring Promos	New	Discounts Given	Accounts Receivable	-45.00	1.00	Discounts - New
003 Tecton Civil & Structural	Discount Recurring Promos	New	Discounts Given	Accounts Receivable	-245.00	1.00	Discounts - New
004 Tecton Civil & Structural	Discount Recurring Promos	New	Discounts Given	Accounts Receivable	-58.45	1.00	Discounts - New
005 Tecton Civil & Structural	Discount Recurring Promos	New	Discounts Given	Accounts Receivable	-1,500.00	12.00	Discounts - New
006 Tecton Civil & Structural	Discount Recurring Promos	New	Discounts Given	Accounts Receivable	-33,425.00	12.00	Discounts - New
007 Tecton Civil & Structural	Discount Recurring Promos	New	Discounts Given	Accounts Receivable	-1,442.00	1.00	Discounts - New
008 Tecton Civil & Structural	Discount Recurring Promos	New	Discounts Given	Accounts Receivable	-60.75	1.00	Discounts - New
009 Tecton Civil & Structural	Discount Recurring Promos	New	Discounts Given	Accounts Receivable	-78.32	1.00	Discounts - New
010 Tecton Civil & Structural	Discount Recurring Promos	New	Discounts Given	Accounts Receivable	-25.00	1.00	Discounts - New
011 Tecton Civil & Structural	Discount Recurring Promos	New	Discounts Given	Accounts Receivable	-22.00	1.00	Discounts - New
012 Tecton Civil & Structural	Discount Recurring Promos	New	Discounts Given	Accounts Receivable	-145.00	1.00	Discounts - New
013 Tecton Civil & Structural	Discount Recurring Promos	New	Discounts Given	Accounts Receivable	-37.50	1.00	Discounts - New
014 Tecton Civil & Structural	Discount Recurring Promos	New	Discounts Given	Accounts Receivable	-45.75	1.00	Discounts - New
015 Tecton Civil & Structural	Discount Recurring Promos	New	Discounts Given	Accounts Receivable	-388.77	1.00	Discounts - New
016 Tecton Civil & Structural	Discount Recurring Promos	New	Discounts Given	Accounts Receivable	-71.00	1.00	Discounts - New
017 Tecton Civil & Structural	Discount Recurring Promos	New	Discounts Given	Accounts Receivable	-27.50	1.00	Discounts - New
018 Tecton Civil & Structural	Discount Recurring Promos	New	Discounts Given	Accounts Receivable	-115.57	1.00	Discounts - New
019 Tecton Civil & Structural	Discount Recurring Promos	New	Discounts Given	Accounts Receivable	-201.00	1.00	Discounts - New
020 Tecton Civil & Structural	Discount Recurring Promos	New	Discounts Given	Accounts Receivable	-42.50	1.00	Discounts - New
021 Tecton Civil & Structural	Discount Recurring Promos	New	Discounts Given	Accounts Receivable	-160.00	1.00	Discounts - New
022 Tecton Civil & Structural	Discount Recurring Promos	New	Discounts Given	Accounts Receivable	-45.00	1.00	Discounts - New
023 Tecton Civil & Structural	Discount Recurring Promos	New	Discounts Given	Accounts Receivable	-62.75	1.00	Discounts - New
024 Tecton Civil & Structural	Discount Recurring Promos	New	Discounts Given	Accounts Receivable	-100.00	1.00	Discounts - New
025 Tecton Civil & Structural	Discount Recurring Promos	New	Discounts Given	Accounts Receivable	-475.12	3.00	Discounts - New
026 Tecton Civil & Structural	Discount Recurring Promos	New	Discounts Given	Accounts Receivable	-72.00	1.00	Discounts - New
027 Tecton Civil & Structural	Discount Recurring Promos	New	Discounts Given	Accounts Receivable	-240.00	1.00	Discounts - New
028 Tecton Civil & Structural	Discount Recurring Promos	New	Discounts Given	Accounts Receivable	-450.00	1.00	Discounts - New
029 Tecton Civil & Structural	Discount Recurring Promos	New	Discounts Given	Accounts Receivable	-240.00	1.00	Discounts - New
030 Tecton Civil & Structural	Discount Recurring Promos	New	Discounts Given	Accounts Receivable	-440.00	1.00	Discounts - New
031 Tecton Civil & Structural	Discount Recurring Promos	New	Discounts Given	Accounts Receivable	-100.00	1.00	Discounts - New
032 Tecton Civil & Structural	Discount Recurring Promos	New	Discounts Given	Accounts Receivable	-100.00	1.00	Discounts - New
033 Tecton Civil & Structural	Discount Recurring Promos	New	Discounts Given	Accounts Receivable	-145.00	1.00	Discounts - New
034 Tecton Civil & Structural	Discount Recurring Promos	New	Discounts Given	Accounts Receivable	-145.00	1.00	Discounts - New
035 Tecton Civil & Structural	Discount Recurring Promos	New	Discounts Given	Accounts Receivable	-175.00	1.00	Discounts - New
036 Tecton Civil & Structural	Discount Recurring Promos	New	Discounts Given	Accounts Receivable	-252.00	1.00	Discounts - New
037 Tecton Civil & Structural	Discount Recurring Promos	New	Discounts Given	Accounts Receivable	-252.00	1.00	Discounts - New
038 Tecton Civil & Structural	Discount Recurring Promos	New	Discounts Given	Accounts Receivable	-252.00	1.00	Discounts - New
039 Tecton Civil & Structural	Discount Recurring Promos	New	Discounts Given	Accounts Receivable	-47.50	1.00	Discounts - New
040 Tecton Civil & Structural	Discount Recurring Promos	New	Discounts Given	Accounts Receivable	-100.00	1.00	Discounts - New

Ready Accessibility Inspector

Good afternoon, Greg!

Accounting Expenses & Pay Bills Sales & Get Paid Customer Hub Team Landing Time Projects

Business feed

Recurring payments You send customers invoices for similar amounts on the same day every month. Review recurring payment offers. Go to payments

Customer payments Your customers paid \$27,610 in open invoices this week. Go to payments

Ready to post 22 transactions across 2 bank accounts are ready to post. Review all

Accounting done 1 transaction auto-posted for you with matches and rules. Review all

Create actions Create a new invoice Create a new bill Record expenses Add bank deposit Create check Show all

Business at a glance

BILL FUNNEL

Auto-renew bills For review \$0.00 Set up bill payment Unpaid \$137,725... Set up payment payment Paid \$258,633...

SALES & GET PAID FUNNEL

Create a new payment request Not Paid \$271,610.08 Paid \$529,696.65

BASE ACCOUNTS

PROFIT & LOSS

EXPENSES

ACCOUNTS RECEIVABLE

ACCOUNTS PAYABLE

The QuickBooks export cleaned up in Excel — the “June example” the deferred revenue file is built from.

Step 12 — Roll the recognition formulas into the new month

The worksheet shows **revenue recognition on the left** and the **deferred balance on the right**. Copy the formulas down and across so they extend into the new month, then bring the total column over so the monthly amounts populate. If a month has not been copied over yet, just highlight the block and drag it one column to the right; at year-end you can add lines or columns as needed.

- 1 Copy the recognition / deferred formulas **down and across** into the new month.
- 2 Bring the **total column** over so the month's amounts populate.
- 3 If a month is missing, highlight the section and **drag it over one**.

FROM THE MEETING TRANSCRIPT — Greg Coble, 00:03:25

"If this was not copied over... all you have to do is just highlight this section and drag it over one."

[illegible]

The Revenue Accrual worksheet — recognition on the left, deferred balance on the right, extended across the months.

Step 13 — Combine the old and new workbooks for renewals

The legacy “RedTeam RevRec” file (the big, slow one) still holds a couple of three-year contracts in **year three of three**. Those recognize the **same ~\$2,200 per month** until they run out, so the deferred balance declines by roughly that amount each period. Keep the old file open: the renewal formulas pull by category (subscription, professional services, discount, third-party, and the \$50 QBO integration revenue) and **add the old workbook** to the new one so total renewal is captured.

- 1 Open the legacy **RedTeam RevRec** file (give it time to load).
- 2 Confirm the runout contracts recognize the same **~\$2,200/month**.
- 3 Use the combined renewal line so **both** workbooks feed the totals.

FROM THE MEETING TRANSCRIPT — Greg Coble, 00:18:27

“You can see that this is going to decline... at roughly \$2,200 a month until it finishes.”

Keep the old workbook accessible. The renewal formulas reference the legacy file, so calculations only stay accurate while it's open — don't close it mid-entry.

The screenshot displays an Excel spreadsheet titled "06-28 RedTeam Rev Rec - Saved to this PC". The spreadsheet is a complex financial table with multiple columns representing time periods from 3/31/2024 to 12/31/2024. The rows are organized into sections, including "Revenue Accrual" and "Journal Entry". The "Revenue Accrual" section lists various revenue categories such as Professional Services, Discounts Given, Subscription Revenue, Integration Revenue, Transaction Fees, and Refunds and Allowances. Each row includes a date, a category, and a corresponding amount. The "Journal Entry" section at the bottom summarizes the totals for each period. A meeting window is overlaid on the bottom right of the spreadsheet, showing a video call with participants Greg Coble and Greg Schaefer. The meeting window displays a small thumbnail of the spreadsheet being discussed.

Pulling renewal figures across both workbooks so the new file captures the legacy runout contracts.

Step 12b — Build the top of the journal entry from the P&L

In QuickBooks Online open **Standard reports** → **Balance Sheet** → **AR holding** and pull up the journal entry. The portion **above the AR holding line** comes straight from the **Profit & Loss**: enter professional services, integration revenue, and subscription revenue for the month, plus Field Lens direct (**leave Recurly alone** — that revenue is reported from Recurly) and the discounts from “refunds and allowances.” The fastest way is to open **last month’s entry** → **More** → **Copy**, rename it (e.g. “**0725 deferred revenue**”), and set the date to the **last day of the month**.

- 1 Open **AR holding** on the balance sheet; copy last month's journal entry.
- 2 Rename it ("07XX deferred revenue") and date it the **last day of the month**.
- 3 Enter the amounts above AR holding from the **P&L** (leave Recurly out).

FROM THE MEETING TRANSCRIPT — Greg Coble, 00:27:31

"I would pull up last month's journal entry, I would click More, Copy... I would change my description to be 0725 deferred revenue and change my date to be the last day of the month."

The two AR holding lines must match. There's an AR holding line near the top and another lower down; they should always equal each other, and the account nets to **zero**.

[illegible]

The worksheet (left) beside the QuickBooks Online journal entry (right); the top half comes from the P&L.

Step 13b — Zero out AR holding and force the difference

Once the P&L amounts are in, **zero out the AR holding line**. The debit and credit totals will no longer agree; take that difference and enter it as the **new AR holding number** (in Greg's example the amount came to about **\$21,751**). This first half of the entry effectively backs out everything that was billed for the month.

- 1 Zero the AR holding line after entering the P&L amounts.
- 2 Compute the debit/credit **difference**.
- 3 Enter that difference as the **new AR holding balance**.

FROM THE MEETING TRANSCRIPT — Greg Coble, 00:28:55

"The difference between the totals on the debits and credits I would force to be... my new AR holding number."

The screenshot displays a Google Meet interface with two main windows. On the left is an Excel spreadsheet titled 'Revenue Accrual' with columns for months from February 2024 to January 2025. It contains numerical data for various revenue categories. On the right is the QuickBooks Online 'Journal Entry' window for 'Journal Entry #556-26 Def Rev'. The journal entry table lists several lines with account names, debit amounts, credit amounts, and descriptions. A video call window in the bottom right corner shows two participants: Greg Coble and another individual.

Zeroing the AR holding line and forcing the debit/credit difference into the new AR holding balance.

Step 14b — Fill the bottom of the entry from the deferred revenue workbook

The section **below AR holding** is driven by the deferred revenue workbook's new/renewal figures. Drop in the numbers by category — professional services, subscription revenue, discounts, Field Lens, and integration revenue (which is the **third-party plus integrations combined**) — then the renewal figures below. Remember to grab renewal from the **combined line** that includes the old workbook, not just the new file. **Transaction fees come from the P&L and stay the same.**

- 1 Go to the deferred revenue workbook's journal-entry section (new & renewal).
- 2 Enter new-business amounts by category; combine third-party + integrations into integration revenue.
- 3 Pull **renewal** from the combined old+new line; leave transaction fees (from the P&L) unchanged.

FROM THE MEETING TRANSCRIPT — Greg Coble, 00:31:47

"We're just dropping in the numbers in the journal entry here."

Filling the section below AR holding from the deferred revenue workbook's new & renewal figures.

Step 15b — Tie out the deferred revenue adjustment

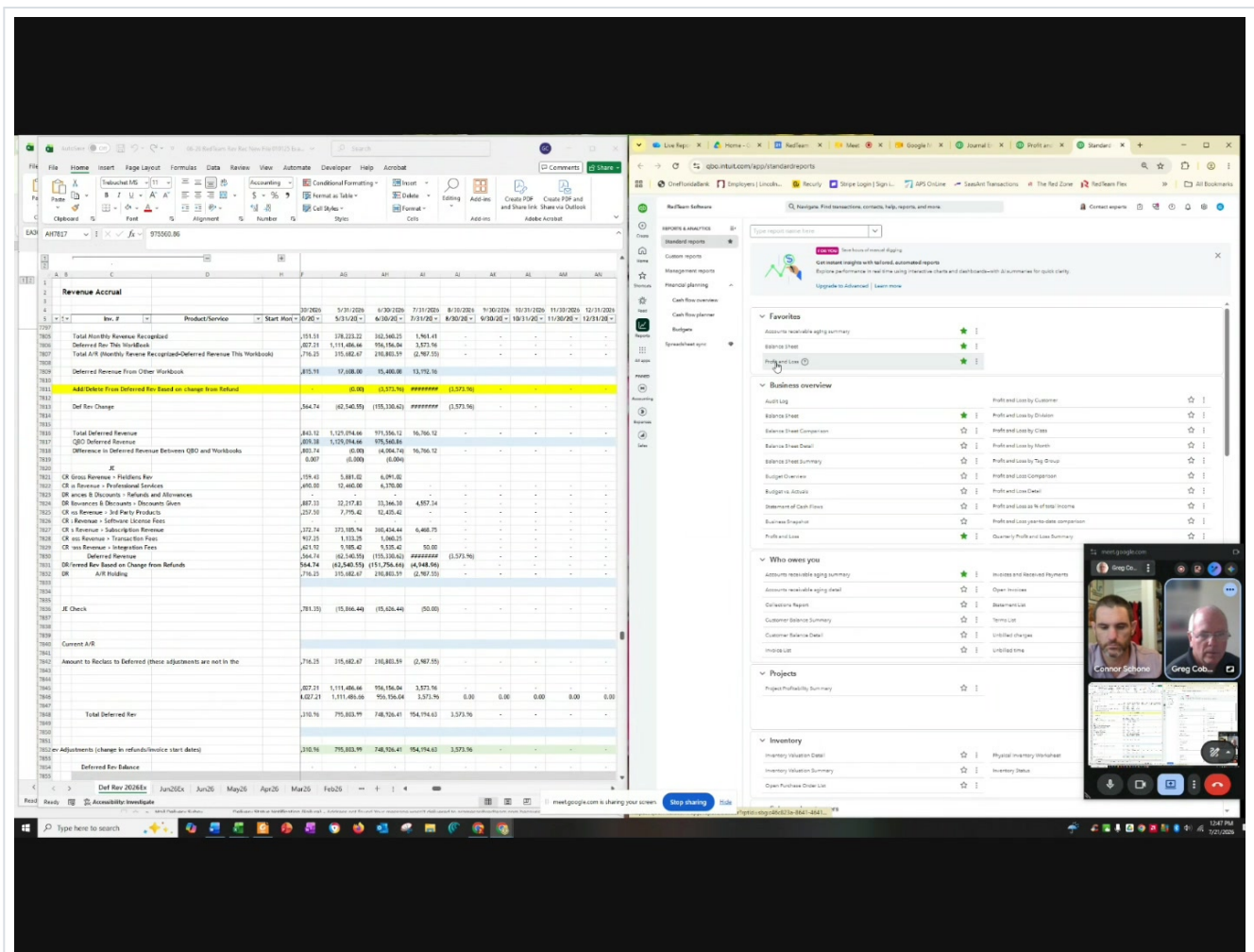
To finish, put a **zero** on the two deferred revenue lines at the very end and **save** the entry so the balance sheet shows the new deferred revenue balance. Read that **new deferred revenue balance** off the balance sheet and enter it in the worksheet; the file computes the difference between the workbook's total deferred revenue and the QBO deferred revenue. Drop that difference into the spreadsheet as the adjustment so everything ties out exactly. After the final entry, the P&L reflects the deferred revenue numbers.

- 1 Enter **0** on the two deferred revenue lines; save to get the new balance.
- 2 Read the **new deferred revenue balance** from the balance sheet into the worksheet.
- 3 Enter the resulting **difference** as the adjustment so the accounts tie out.

FROM THE MEETING TRANSCRIPT — Greg Coble, 00:36:17

"Once you have the difference, then you can drop that difference in... into this spreadsheet and that way you tie out exactly."

It gets easier. Greg's reassurance: "once you do it a few times it doesn't seem as daunting." The workbook does the calculations off the new/renewal categories and descriptions — your job is to feed it clean data.



Reading the new deferred revenue balance from the balance sheet and dropping the difference in to tie out.

Step 16b — Protect the proforma and sync your file access

Housekeeping from the session: the **proforma financial model** contains **everyone's salary and compensation**, so never share the master file. Kelly's view access was removed. To give someone a single tab (e.g. marketing), **copy that tab into a new workbook** and share only that. Separately, shared SharePoint / Drive folders (2026 budget, RedTeam monthly financials, live reports) may not appear in your list until you **open each file once** to sync access.

- 1 Never share the master proforma; **copy the needed tab** into a new workbook to share.
- 2 Confirm broad view access to sensitive files has been removed.
- 3 Open shared files individually so they sync into your SharePoint list.

FROM THE MEETING TRANSCRIPT — Greg Coble, 00:16:42

"I would just make a copy of that tab into a new workbook... and just share that with her."

Sorting out SharePoint/Drive file access — open each shared file once so it syncs into your list.

Step 17b — Plan for the migration and historical adjustments

Looking ahead to moving revenue / deferred revenue into **HubSpot or Chargebee**: the plan is to **validate the new system against at least a year of history** before relying on it. The new workbook goes back to **January 1, 2025**, so loading all contracts from that date forward is the cleanest start; the small remainder in the old workbook is immaterial and can stay there. The catch is **adjustments** — credit memos and cancellations also run through deferred revenue and won't exist in loaded service agreements, so they must be handled separately (possibly with a cutoff date where the old file remains the source of truth). Connor planned to raise this with Susant in the pricing discussion.

- 1 Require the vendor to load contracts from **Jan 1, 2025** forward and tie out ≥ 1 year.
- 2 Keep the old workbook for the immaterial runout balances.
- 3 Decide how **credit memos / cancellations** are handled (likely a cutoff date); confirm with Susant.

FROM THE MEETING TRANSCRIPT — Greg Coble, 00:38:41

"If they were to load all the contracts from January 1 of 2025 forward... that would probably be the best thing to do."

Adjustments run through deferred revenue. Cancellations and credit memos hit deferred revenue too, so they can't just come from a loaded service agreement — plan where those are captured going forward.